1 Organizational Structures

110 General Information

111 Purpose

111.1 Objectives

The organizational structures policies of the Postal Service are established to meet the following objectives:

a. Support the mission of the Postal Service.

b. Ensure there is no duplication of jobs, functions, or responsibilities within or between organizational structures.

c. Ensure the relevance and consistency of organizational structures and staffing.

Note: See 113.1 for definitions of organizational terms.

111.2 Chapter Content

The content of this chapter:

a. Documents the principles to establish organizational structures and staffing and describes the programs used to monitor and assess them.

b. Establishes guidelines, policies, and procedures for implementing changes in organizational structures and staffing patterns, and it describes factors to be considered in making decisions related to organizational changes. In view of functional diversity, varying work requirements, and the wide range of operational circumstances, factors are considered and decisions are reached on a case-by-case basis.

111.3 Importance of Concepts

Organizational design operates on the basis of standard organizational structures and staffing criteria. Postal Service managers must be aware of the concepts applied in evaluating organizational change requests so that they can:

a. Make informed decisions when requesting organizational changes.

b. Submit appropriate documentation to support proposed changes.

c. Understand the basis upon which their requests will be reviewed and evaluated.

112 Responsibilities

112.1 Headquarters

Employee Resource Management within Human Resources at Headquarters has overall responsibility for the control of organizational structures and staffing for the Postal Service. This includes:

a. Developing and implementing organizational management policies and programs for bargaining unit and nonbargaining unit positions.

b. Designing programs and procedures for auditing and assessing existing structures and staffing.

c. Providing the capability to plan for the long-term organizational development of the Postal Service in response to technological and environmental changes.

112.2 Areas

The area Human Resources manager:

a. Serves as an advisory resource on matters relating to field organizations.

b. Monitors compliance with approved staffing and structures for field units.

112.3 Managers

All levels of managers in the Postal Service are responsible for:

a. Planning and implementing administrative and operating methods that comply with Postal Service organizational structures and staffing policies.

b. Reviewing the structures and staffing of their organizations and recommending changes according to the instructions in this chapter.

113 Definitions

113.1 Organizational Terms

a. *Activity* — a group of related (but possibly heterogeneous) tasks that constitute an easily defined operation or service which may be performed by an employee or group of employees.

b. *Function* — a principal method of devising work. A function may be a single activity, but is more commonly a group of related activities placed together under one responsibility. Functions are categorized as major or minor as follows:

(1) *Major function* — a group of activities that has a direct impact on the overall mission of the Postal Service.

(2) *Minor function* — a group of activities that has an indirect impact on the mission of the Postal Service.

c. *Organizational structure* — the formal relationship that:

(1) Reflects the organizational units within a given group and the pattern of work to be accomplished by the employees in the organization;

(2) Delineates responsibilities and reporting relationships; and

(3) Creates a rational division of work.

The organizational structure should respond to the needs of the organization and foster the achievement of its objectives. When there is a basic change in the amount or kind of work to be done or in the assignment of the work to the positions involved, the organizational structure should be changed.

d. *Organizational unit* — an entity in which the necessary activities are divided into segments small enough to be managed or supervised by one person. An autonomous unit operates under a manager with the discretionary decision-making responsibility (see 113.3).

e. *Program* — a specialized, continuing endeavor consisting of a group of selected projects and activities related to one another within a major function.

f. *Staffing* — the number and types of positions within an organization, typically determined by criteria, guidelines, and standards.

113.2 Basic Managerial Positions

Basic managerial positions are as follows:

a. *Installation head or manager* — one who plans, organizes, directs, guides, controls, and evaluates the efforts of subordinate managers, employees, or both to achieve organizational goals.

b. *Supervisor* — one who has a direct responsibility for ensuring the accomplishment of work through the efforts of others. Normally, a supervisor has no subordinate employees with managerial responsibility for others.

113.3 Organizational Entities

Organization entities include the following:

a. *Executive vice president organization* — an organizational entity in Headquarters that exercises managerial and directive control over one or more vice president organizations or serves as a member of the senior management team.

b. *Vice president organization* — an organizational entity in Headquarters with responsibility for major heterogeneous functions having service-wide impact.

c. *Headquarters unit* — an organizational entity in Headquarters managed by an executive and subordinate to a vice president or a manager with responsibility for one or more major homogeneous functions having service-wide impact.

d. *Headquarters-related field unit* — an organizational entity that performs a major function or group of minor functions, reports directly to a Headquarters manager, and resides outside the Headquarters building.

e. *Service center* — an organizational entity that reports directly to a manager at Headquarters and resides outside the Headquarters building.

f. *Service office* — an organizational entity that performs an activity or group of activities, usually to support a service center.

g. *Area office* — an organizational entity that has responsibility within a specified geographical area for major heterogeneous functions having area-wide impact. These functions include oversight of:

(1) Subordinate districts,

(2) Processing and distribution centers,

(3) Network distribution centers,

(4) Airport mail centers,

(5) International service centers, and

(6) Remote encoding centers.

h. *District office* — an organizational entity subordinate to an area, with responsibility for major heterogeneous functions having district-wide impact, including oversight of subordinate Post Offices™ and delivery distribution centers.

i. *Processing and distribution center (P&DC)* — an organizational entity, subordinate to an area, with significant responsibility for the processing and distribution of mail for a geographic area. A P&DC may have one or more reporting facilities.

j. *Processing and distribution facility (P&DF)* — an organizational entity, generally subordinate to a P&DC, that has responsibility for the processing and distribution of mail for a geographic area.

k. *Network distribution center (NDC)* — an organizational entity, generally subordinate to an area, within a three-tier system of distribution of Standard Mail, periodicals, and packages. Some NDCs serve as consolidation points for truckload volumes.

l. *Surface transfer center (STC)* — an organizational entity, generally subordinate to an area, designed to distribute, dispatch, consolidate, and transfer First-Class Mail®, Priority Mail®, and periodicals within a specialized surface transportation network.

m. *Logistics and distribution center (L&DC)* — an organizational entity, generally subordinate to a district, engaged in the receipt, unloading, sorting, loading, dispatch, and transportation of a variety of mail products for a designated service area.

n. *Remote encoding center (REC)* — an organizational entity, generally subordinate to an area, that processes video images of partially resolved or script letter mail for the P&DCs.

o. *International service center (ISC)* — an organizational entity that distributes and dispatches international mail received from a designated service area to specific foreign countries or to gateway exchange offices.

p. *Post Office* — an organizational entity subordinate to a district, and perhaps also an administrative Post Office, managed by a Postmaster, with responsibility for:

(1) Customer services,

(2) Local delivery,

(3) The receipt and dispatch of all classes of mail, and

(4) In some instances, processing and distribution of mail for other Post Offices in the surrounding geographic area.

A Postmaster may be responsible for the operation of more than one facility, and duties may be performed by designated subordinate personnel at the direction of the Postmaster, including when the Postmaster is not physically present.

q. *Remotely Managed Post Office (RMPO)* — a Post Office that:

(1) Offers part-time window service hours,

(2) Is staffed by a Postal Service employee, and

(3) Reports to an Administrative Post Office.

r. *Part-Time Post Office (PTPO)* — a Post Office that:

(1) Offers part-time window service hours,

(2) Is staffed by a Postal Service employee, and

(3) Reports to a district office.

s. *Administrative Post Office* — a Post Office that has administrative control of or responsibility for:

(1) A contractor-operated retail facility,

(2) A classified station or branch, or

(3) Another Post Office.

Note: Unless otherwise specified, all references to “Post Office” include RMPOs and PTPOs.

114 Organization Charts

An organization chart is the graphic representation of an organization’s structure. The official organization charts of the Postal Service are maintained by Organizational Effectiveness, Employee Resource Management, at Headquarters.

120 Structures and Staffing

121 Overview

The basic organizational structure of the Postal Service is comprised of Headquarters, areas, districts, P&DCs, and Post Offices. Some units are uniquely designed because of their specialized nature; however, units that perform essentially identical functions are typically standardized. The primary goal of the Postal Service is to standardize structures to the greatest extent

possible. When special operating conditions or service requirements arise, it is appropriate to make adjustments in organizational structures and staffing.

122 Structuring Principles

The principles of an effective organizational structure include the following:

a. Each position is:
   (1) Tailored to be within the capacities of a single individual.
   (2) Subject to the line authority of only one higher position.
   (3) Clearly defined in terms of objectives and measurable contributions.
   (4) Classified and grouped with other positions to avoid either gaps or overlaps in work and functions.

b. Duties and authority are definitely fixed.

c. Incumbent's authority corresponds with his or her responsibilities.

d. All activities necessary for an incumbent to achieve objectives are assigned to his or her position.

e. Structure is developed within complement constraints that are projected realistically.

f. Structure provides for control of all work necessary to achieve mandated objectives.

g. Span of control is neither so broad as to exceed the manager's capacity to manage and integrate effectively nor so narrow as to preclude adequate delegation.

h. Chain of delegation is short enough to minimize vertical filtering of communications.

i. Related activities are integrated at the lowest level consistent with the attainment of objectives, economical use of personnel, and assignment of responsibilities.

j. To the greatest extent possible, the organizational design anticipates future work requirements in order to minimize the need for frequent reorganization.

k. Responsibilities for current and long-range work are clearly segregated.

123 Standard Structures

123.1 Characteristics

Most field operations have common characteristics that can be assessed and used to determine standard organizational structure and staffing requirements. These characteristics include size, complexity, and accountability for the work to be performed.

123.2 Installations

The Postal Service has developed standard organizational structures for most field units (e.g., districts, P&DCs, NDCs, Post Offices, and carrier stations).

124 Specialized Structures

Specialized structures must be established individually, based on the operational requirements that separate these units from other organizations. A specialized structure generally meets at least one of the following conditions:

a. The unit's structure is unique, complex, and normally large due to its service requirements and operational scope.

b. The unit's functions are highly specialized.

125 Staffing

125.1 Overview

Once an effective structure is established, the next step in the organizational design process is to identify appropriate staffing levels. Based on operational factors, staffing requirements — numbers, types, and grade levels of positions — may differ for organizations with the same structure. However, functional responsibilities and reporting relationships remain generally consistent from one installation to the next.

125.2 Criteria

The amount and type of work are the primary determinants of authorized staffing. Organizations of comparable size and activity that fall within a designated category (e.g., districts, P&DCs, NDCs, and Post Offices) usually can be staffed uniformly above the first level of supervision.

In some structures, circumstances may justify staffing variations above the first level of supervision. Variations occur when the workload in specialized functions fluctuates significantly between organizational units within a standard structure category. In such instances, separate criteria may be developed for position use.

125.3 Matrices

Staffing matrices are used to provide staffing guidance to districts and local installation heads. A staffing matrix details the following:

a. Types and numbers of positions authorized for specific functional areas, such as in-plant support or safety.

b. Titles, grades, and the minimum and maximum number of positions appropriate for organizational units such as districts, P&DCs, NDCs, and Post Offices.

130 Organizational Change Criteria

131 Workload Increase or Decrease

131.1 Increased Work

When the volume of work increases to the point where an existing organization can no longer effectively complete the work in accordance with

accepted performance standards, organizational change may be justified. Workload increases may lead to one or more of the following organizational changes:

a. Adding a layer of management to maintain an appropriate span of control.

Example: Authorization of a distribution operations manager responsible for supervising multiple supervisors.

b. Adding supervision within an authorized, existing layer in an organization.

Example: Authorization of an additional distribution operations supervisor.

c. Adding support positions.

Example: Authorization of operations specialists or analysts to support strategies and goals.

131.2 Decreased Work

When the volume of work decreases to the point where the organization's existing resources are underutilized, a reduction in authorized staffing and layers of management may be justified.

132 Change in Nature of Work

A change in the requirements placed upon an organization may involve adding or eliminating specialized functions within an authorized scope of activity. When functions are added to or removed from an established structure, it may be necessary to modify the organizational structure.

133 Duplication of Functional Responsibility

When two or more units within an organization are responsible for accomplishing essentially the same work:

a. Accountability for performance is difficult to fix;

b. Unnecessary costs are incurred; and

c. The units may be working at cross-purposes.

In such cases, consolidation of overlapping functions normally is the appropriate remedy.

134 Inappropriate Reporting Relationships

134.1 Hierarchy of Responsibility

The tasks assigned to a subordinate unit or position within an organization should be reflected within the broader scope of responsibility of the next higher level of management. It is inappropriate to retain a reporting relationship in which the work of the subordinate unit or position bears no relevance to the functional responsibilities of the management level under which the unit or position is organizationally located.

134.2 Contingent Work Relationships

When a high level of interdependence between two organizational functions makes the performance of one unit contingent upon the performance of another, both units usually have a common reporting relationship. In this way, responsibility is clearly fixed for ensuring that the two functions are coordinated. When highly interdependent functions report to different control points in the organization, it may be necessary to restructure the reporting relationships.

135 Unconnected Work

Common activities and tasks requiring similar supervisory or technical skill for effective performance should be grouped within an organizational unit or job description. When activities and tasks become too highly differentiated within a unit or position, it may be necessary to separate them into discrete functions.

136 Inappropriate Span of Control

136.1 Factors

The complexity of a managerial function is a governing factor in establishing an appropriate span of control. When subordinates perform similar tasks, the span of control can be broader than when they perform dissimilar tasks.

136.2 Considerations

It is not practical to prescribe upper or lower limits to the span of control in a general context. Each organizational situation must be separately analyzed. The following principles serve as guidelines:

a. When the span is so narrow that delegation is impaired and subordinate supervisors are limited in the use of initiative and judgment, the span should be broadened.

b. When the span is so broad that subordinates are not receiving the proper degree of management, the span should be narrowed.

137 Change in Mission

Sometimes the mission of an organization changes so substantially that the existing structure and staffing become inadequate. Under such circumstances, a major reassessment of existing functional responsibilities and capabilities is required.

138 Reduction of Expenses

A comparison of work requirements with authorized staffing may reveal inefficiencies. It may be necessary to consolidate duties and responsibilities whenever staffing resources are not being used to the fullest extent. The objective is to achieve operating economies without adversely affecting performance.

139 Completion of Transition

Organizations that have been designed around new and complex systems often move through a start-up phase before becoming fully operational. Note that:

a. During the start-up phase, actual staffing requirements may differ from projected staffing requirements due to specialized activation programs and related activities.

b. When possible, identify the temporary elements of a start-up operation in advance, so that temporary solutions can be developed.

c. When the organization achieves operating stability, it may be necessary to reassess and adjust the initial structure and staffing.

140 Organizational Change Analysis

141 Analysis of Work Requirements

141.1 Nature of Functions

Analyzing the nature of functions involves allocating work of the organization into separate functional components. Each functional component should represent an aggregate of duties that logically fall within the scope of a single job description (i.e., duties that involve similar kinds of skills, knowledge, and abilities).

At this stage, the objective is not to establish detailed position requirements, but to focus on the manner in which work can be segmented and assigned to major functional reporting or control points within a unit.

141.2 Volume of Work

The volume of work:

a. Can be translated into the number of employees required to perform the work by using conversion factors appropriate for the activity involved.

b. Is derived from historical data combined with economic forecasts and other relevant projections, and — whenever possible — expressed quantitatively.

c. Is analyzed for its impact on staffing requirements in the principal areas of operating activity, as well as in supporting functions.

142 Analysis of Skill Requirements

142.1 Purpose

The analysis of skills requirements helps managers to:

a. Establish a basis for determining selection criteria.

b. Develop a hierarchical management structure for the organization that is internally consistent and compatible with structures in other Postal Service installations.

142.2 Method

In order to establish responsibility for work, it is necessary to assign specific duties to designated staff positions. To establish the requirements of a position, the managers must analyze the job-related skills and experience required. This analysis helps to identify structural implications. The first step in this process is to define job content by preparing a narrative description, as follows:

a. State the:
   (1) Functional purpose of the position,
   (2) Scope of responsibility, and
   (3) Degree of supervision required.

b. Outline in detail the core duties and responsibilities performed by the incumbent. The description of each duty and responsibility determines the skills required for efficient work performance. Use action words — such as directs, manages, supervises, oversees, plans, and coordinates — to describe the depth of involvement and the degree of responsibility. Action words help to differentiate the level of skill, knowledge, and ability required.

c. Analyze the functional purpose, duties, and responsibilities of the position to connect the educational disciplines, work experience, physical capacities, and job-related skills expected of the incumbent.

142.3 Selection Criteria and Procedures

Organizational Effectiveness, Employee Resource Management, in consultation with the appropriate executive vice president or vice president organization, determines the selection criteria for each position by issuing a qualification standard or an interim statement of qualifications.

143 Analysis of Functional Relationships

143.1 Basic Factors

The identification of work and skill requirements provides the basis for determining staffing needs. The next step is to analyze the organizational structures to ensure that functional alignments and reporting relationships are appropriate to the unit's mission. The criteria used to make such a determination are identified in subchapter 130. Critically important criteria, as outlined in previous sections, are repeated below:

a. Review functional statements and job descriptions to eliminate duplication of responsibility between subordinate units of the organization, as discussed in 133. Where such duplication is found, functional responsibility is assigned to the subordinate unit having dominant interests in the activity under review.

b. Group functional activities to ensure homogeneity of work as discussed in 135.

c. Establish a span of control consistent with the guidelines discussed in 136.

d. Establish a hierarchy of responsibility in vertical reporting relationships consistent with the guidelines discussed in 134.1.

e. Align contingent work relationships so they are consistent with the concepts discussed in 134.2.

143.2 Reporting Relationships

143.21 Administrative

An administrative reporting relationship establishes a clear line of authority between positions or units in the organizational hierarchy. The actions of the subordinate are subject to the direction and approval of the next higher level of management, irrespective of the autonomy the latter may choose to grant to, or withhold from, subordinate levels. Subordinate positions never report administratively to more than one higher level supervisor.

143.22 Functional

A functional reporting relationship establishes a connection between positions or organizational units at different management levels based on the specialized nature of the function for which a mutual responsibility is shared. In this type of situation — often referred to as an indirect reporting relationship — the higher level position or unit provides functional guidance and support to positions or units lower in the organizational structure.

For example, Human Resources at Headquarters has functional responsibility for human resources activities in the areas. However, these activities report administratively and directly to the vice president, Area Operations. There is no formal line of authority in a strictly functional relationship.

143.23 Management of Reporting Relationships

The administrative head of an organization integrates all unit activities through the exercise of organizational authority. Detailed functional expertise is usually located immediately below this level of management, where administrative authority and functional direction are joined.

Sometimes it is necessary to separate administrative and functional reporting relationships. A separate functional reporting relationship might be justified when:

a. The knowledge essential to effective performance is so specialized that the function can only be placed in the higher levels of the organization (e.g., the Postal Service medical program).

b. The consequences of an incorrect decision are so great as to require continuing consultation with a higher organizational level having policy responsibility for the functional area in question (e.g., international mail).

c. The sensitivity of the function requires total uniformity of execution throughout the entire organization (e.g., labor relations or purchasing).

Organizational relationships are analyzed in terms of the adequacy of functional direction. Where it is appropriate, functional reporting relationships can be formally established so that sanction channels of communication are not reflected in the administrative structure.

143.3 Line and Staff Relationships

While line relationships are based on the exercise of organizational authority, staff relationships are founded on the exercise of organizational influence and the authority of knowledge. While line managers are empowered to make operating decisions, staff personnel act in an advisory role. Line managers report administratively to the next higher level of management. Staff managers report administratively to line or staff management and often functionally to another level of management outside and, sometimes, above the unit structure.

Staff functions are analyzed based on the following criteria:

a. *Appropriate placement within the structure.* If the reporting point is too low in the structure, the exercise of influence is impaired.

b. *Extent of need.* Functional expertise may be readily accessible to line management outside the immediate structure, obviating the need for redundant internal staff.

143.4 Responsibility and Authority

A principle rule in organizational design requires authority to be commensurate with responsibility. Managers cannot be held accountable for results over which they have limited or no control. Analyze reporting relationships to uncover any organizational defects such as:

a. Placement of authority at one or more levels above the designated level of responsibility.

b. Placement of essential organizational resources outside the managerial control of the manager who needs them most and who should be accountable for their use.

c. Granting overlapping authority to two or more positions or units that could lead to jurisdictional conflicts.

144 Identification of Discrepancies

144.1 Design of Organizational Structure

Performing the analysis described in 141 through 143 provides a basis for the design of an organizational structure, as follows:

a. Analysis of work and skill requirements helps management to identify the organizational resources that are needed.

b. Analysis of functional relationships helps management to arrange the organizational resources into a functional structure.

144.2 Comparison With Existing Organization

If an existing organization is compared to a proposed organizational structure, functional relationships and staffing discrepancies can be identified. The discrepancies become the focal points for organizational change if further analysis confirms the need to modify existing structures or staffing.

150 Organizational Change

151 Performance Issues

No organization is static, so managers need to ensure that structures and staffing continue to meet their unit's objectives. However, an organization may not perform up to expectations for reasons other than deficiencies in structures or staffing. If the organization is fundamentally sound, allow structures and staffing to remain intact and consider other courses of action.

The causes of organizational performance issues can often be traced to one or more of the deficiencies listed below. If the organization suffers from any of the deficiencies listed, changes in structures or staffing are not likely to correct them. Management must address these issues directly by actions unrelated to the organizational design process. These include deficiencies in the following areas:

a. Training.
b. Planning and goal setting.
c. Recruitment and selection.
d. Methods and procedures.
e. Controls and feedback.
f. Communication.
g. Leadership.

152 Reasons for Making Organizational Changes

Basic reasons for making organizational changes may include changes in the following:

a. Strategy, mission and vision.
b. Centralization of work or shared services concept or insourcing.
c. Consolidation of facilities.
d. Type or amount of work performed.
e. Operating procedures.
f. Reporting relationships.

153 Types of Organizational Changes

153.1 General

Proposed organizational changes are classified as major or minor, as specified in 153.2 and 153.3. Organizational change requests can originate at any level of management. After the request has been reviewed and concurred by the next level managers, it must be initiated by an officer or his designee for approval. Before making an official request, the requestor should discuss it informally with higher level functional management, district or area Human Resources manager, and/or the Manager, Organizational Effectiveness to seek further guidance.

153.2 Major Organizational Changes

Major organizational changes are initiated by an officer and implemented by Organizational Effectiveness within the Employee Resource Management function. A major organizational change may consist of at least one of the following:

a. Consolidation: Involving the movement of operations from one or more facilities to other facilities.

b. Closure: Involving the elimination of one or more facilities.

c. Restructure: Involving a major change in strategy within a functional group. (For example: centralization, insourcing, shared services, decentralization, and new technology.)

Note: A major organizational change may result in the elimination of encumbered positions which may lead to a potential Reduction in Force (RIF) impact. (See section 354, Assignment of Unassigned Employees.)

153.3 Minor Organizational Changes

Minor organizational changes are initiated by an officer and implemented by Organizational Effectiveness. A minor organizational change may consist of at least one of the following:

a. Realignment of functional units. For example: a change in reporting relationship.

b. Realignment of work performed within a functional unit resulting in the modification of one or more job descriptions. This may also result in the creation of new jobs.

c. Change in job titles.

d. Minor changes to a job description.

The above are not all-inclusive. A minor change may consist of other aspects concerning the specific organization.

Note: Minor organizational changes should not result in the elimination of an encumbered position.

Before making an official request, the requestor should discuss it informally with higher level functional management, district or area Human Resources manager, and/or the Manager, Organizational Effectiveness, to seek further guidance.

154 Submitting Requests

154.1 Field Units

Managers of field units are to forward requests with appropriate documentation (see 155) through appropriate managerial channels to the district Human Resources manager. Each level of management must concur before a request is submitted to the next higher level.

a. The district Human Resources manager submits the request to the area Human Resources manager.

b. If it is concurred with at the area human resources level, it is submitted to the area Vice President for review and concurrence.

c. The area vice president or area Human Resources manager submits the formal request to the vice president, Employee Resource Management (ERM).

154.2 Headquarters Units

Managers of Headquarters units are to forward requests with supporting documentation to their next higher level manager for review and concurrence. The next higher level manager will then submit the request to the vice president of the functional department for concurrence. The vice president of the functional department will seek concurrence from their Executive Leadership Team (ELT) member. The ELT member must submit the formal request to the vice president, ERM for review and consideration.

155 Documenting Requests

The process for requesting a major or minor organizational change is described below:

a. The officer of the functional area submits a formal request to the vice president, ERM, with a copy to the general counsel & executive vice president. The request should include supporting documentation and describe the organizational change, its rationale, potential efficiencies, and cost savings.

b. The vice president, ERM reviews the request and forwards it to the manager, Organizational Effectiveness (OE), for further review.

c. If OE determines the request to be a major change, it will contact the business customer to discuss the completion of an organizational change restructure proposal packet (provided by OE).

d. If OE determines the request to be a minor change and is in agreement with the request, it will contact the business customer to discuss, if necessary, or proceed with the requested change.

Note: Due to the potential employee impact that may result from an organizational change, OE will consult with the Law Department to discuss any legal aspects that should be considered before proceeding with the request.

156 Approval Authority and Disposition of Requests

All organizational changes — major and minor — may be approved by the chief human resources officer or vice president, ERM, or manager, Organizational Effectiveness.

After Organizational Effectiveness reviews the request and initiates all appropriate procedures for implementation, the vice president, ERM may approve, approve in part, deny, or propose changes to any organizational change request.

An approved request that is ready for implementation may include one or more of the following:

a. Organizational chart showing revised reporting relationships, as applicable.

b. List of approved job titles, grades, occupational codes, and number of positions.

c. Implementation guidelines.

156.1 Approval

A request that has been approved is sent to the initiating official through appropriate channels.

156.2 Denial

A letter explaining the reasons for denying a request is sent to the initiating official, with copies provided to the appropriate functional units.

157 Implementation

To effect a major organizational change with service-wide impact, Organizational Effectiveness coordinates the preparation of an implementation plan with stakeholders. Functional management at Headquarters provides technical guidance, as requested, to ensure accuracy of content and consistency with established policy. When the implementation plan is approved, changes to organizational structure will be entered in the Organizational Management system (see 161.1).

Due to the unique circumstances of each organization, implementation plans will differ. However, most implementation plans may include at least one or more of the following items:

a. Schedule of target dates for each phase of the plan.

b. Anticipated internal operational impacts of the modified structure and staffing plan.

c. Standard job descriptions for new or modified jobs.

d. Guidelines for consolidating duties and responsibilities.

e. Guidelines covering the transfer of functions to or from another organizational unit.

f. Clarification of new reporting relationships.

g. Instructions concerning changes affecting bargaining unit positions and consultations with the management associations and local unions, as necessary.

h. Suggested procedures for monitoring compliance.

Note: When implementing an organizational change, the organizational change procedures in 354, Assignment of Unassigned Employees, may need to be invoked.

160 Monitoring and Assessment

161 Organizational Management System

161.1 Explanation

The Organizational Management (OM) system is a computerized system that:

a. Provides information reflecting actual organizational characteristics down to the smallest supervised unit in every Postal Service installation.

b. Identifies the hierarchy of organizational units and authorized positions.

c. Enables the comparison of the structural organization and staffing levels of similar facilities for the purpose of identifying inconsistencies.

161.2 Reports Generated

161.21 Authorized Staffing Organization Report

The Authorized Staffing Organization Report is a graphic display of the distribution of all authorized nonbargaining unit and selected bargaining unit positions within a manager's span of control. The report displays the structural arrangement of an organizational unit (e.g., Postal Service facility, tour, and specialized unit) and provides the following data:

a. Job title and occupation code.

b. Pay schedule and grade or level for each position.

c. Number of positions authorized for a given job title.

d. Date of the last change to the organizational unit.

e. Cost center code for the specified organizational unit.

Note: The *cost center code* is a 10-digit number consisting of a unit's Finance Number and Unit ID.

161.22 Payroll Staffing Condition Report

161.221 Description

The Payroll Staffing Condition Report is a sequential printout of authorized nonbargaining unit positions and their incumbents generated by the web-based Complement Information System (webCOINS). The report shows all variances to approved staffing by comparing data from these two sources:

a. The authorized and on-rolls complement of a unit (identified by cost center code and extracted from the OM system).

b. Current payroll records.

161.222 Identifying Discrepancies

Discrepancies between the two sets of data can be readily identified. The report notes the following variances between authorized and on-rolls in the Variance column:

a. Vacant positions (VAC).

b. Over-complement positions (OVC).

c. Non-authorized positions (NAU).

d. Occupied positions (OCC).

161.3 Administrative Responsibility

161.31 Headquarters

Organizational Effectiveness establishes policies and procedures for the Organization Management system.

161.32 Districts

District Human Resources managers are responsible for verifying organizational and staffing information for all Postal Service facilities within their jurisdiction. If an OM change is required, the district must submit a request to the area for review and concurrence. If the area Human Resources managers concur, they submit a formal request to the vice president, ERM, for review and approval.

161.33 Areas

Area Human Resources managers are responsible for verifying organizational and staffing information for all Postal Service facilities within their jurisdiction, including the area office. If an OM change is required, they submit a formal request to the vice president, ERM, for review and approval.

162 Organization, Staffing, and Position Reviews

162.1 Responsibility

Organizational Effectiveness periodically assesses established structures and staffing.

162.2 Purpose

Organizational Effectiveness conducts reviews to ensure that the allocation of approved positions and the assignment of personnel reflect the most effective use of human resources. Specific objectives are to:

a. Assess uniformity in organizational structures and position use throughout the Postal Service.

b. Evaluate the adequacy of job descriptions used in the organizational unit review.

c. Assess the effectiveness of approved staffing and structure.

d. Identify the informal organization and compare it to the formal structure.

e. Evaluate staff interaction in a unit or facility to determine whether:

(1) Approved organizational structures have been implemented.

(2) Authorized positions are functioning as intended.

(3) Weaknesses exist in the approved organizational structure, positions used, or both.

(4) Timely action is taken whenever non-authorized positions are found.

f. Determine if overlapping duties and responsibilities exist within the unit.

g. Determine if structural or staffing designs leave essential work inadequately supported.

Note: The use of the word positions is not related to the on-rolls staffing.

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